Glossary

Project Management

A

Agile: A project management approach in which project phase’s overlap and tasks are completed in iterations

Authority: Refers to one's ability to make decisions for the project that impact the organization

B

Barrier: Something that can get in the way of project progress

Buzzword: A word or phrase that is popular for a period of time or in a particular industry

C

C-Suite: All the “chief” level officers in an organization

Change agent: A person from inside an organization who helps the organization transform by focusing on improving organizational effectiveness and development

Change management: The process of delivering a completed project and getting people to adopt it

Classic structure: An organizational structure with a traditional, top-down reporting hierarchy

Closing: The phase at the end of a project during which team members' work is celebrated and how the project went is evaluated

Contract work: Work done for a company by non-employees on a project-by-project basis

Corporate governance: The framework by which an organization achieves its goals and objectives

Cross-functional team: Team members who have different skill sets and may even work in different departments but are all working towards the successful completion of a project

Culture mapping: A tool that can illustrate a company's culture and how the company's values, norms, and employee behavior may be affected by change

D

Delegation: Assigning tasks to individuals or resources who can best complete the work

Deliverable: A specific task or outcome

DMAIC: A strategy for process improvement; refers to the five phases in the Lean Six Sigma approach: define, measure, analyze, improve, and control

E

Effective communication: Refers to being transparent, upfront with plans and ideas, and making information available

Escalation paths: Refers to the courses for communicating risks to the right people at the right time

Executing: Completing the tasks necessary to achieve the project goals

F

Feedback mechanism: A tool that can capture input from stakeholders, such as a survey

Floating task: A task for which a change in its delivery would not affect the project's overall success or impact its timeline

Flowchart: A tool that can visualize a project's development process

Functional manager: The leader of a department in a functional (Classic) organization

Functional organizations: An organization divided into departments based on function; also called a Classic organization

G

Governance: The management framework within which decisions are made and accountability and responsibility are determined

I

Influencing without authority: Refers to a project manager's ability to guide teammates to complete their assigned work without acting as their direct managers

Initiation: The project phase that is the launchpad for the entire project; project goals, deliverables, resources, budget, and people are identified at this stage

Internship: A short-term way to get hands-on experience in an industry

Interpersonal skills: The behaviors used to interact with others; skills than can help one influence without authority, including communication, negotiation, conflict mediation, and understanding motivations

Iterative: Refers to phases and tasks that overlap or happen at the same time that other tasks are being worked on

K

Kanban: An Agile approach and a tool that provides visual feedback about the status of the work in progress through the use of Kanban boards or charts.

L

Lean: A methodology in which the main principle is the removal of waste within an operation

Lean Six Sigma: A combination of two "parent" project management methodologies: Lean and Six Sigma; used for projects that have goals to save money, improve quality, and move through processes quickly

Linear: A project structure in which the previous phase or task has to be completed before the next can start

M

Matrix structure: A hybrid organizational structure that is like a grid; includes direct higher-ups to report to, as well as stakeholders from other departments or programs

Mission: Clarifies what the “what,” “who,” and “why” of the organization

O

Organizational culture: Employees’ shared values and the organization’s values, mission, history, and so on; a company’s personality

Organizational structure: The way a company or organization is arranged

Ownership: When people feel like they are empowered to take responsibility for the successful completion of their tasks

P

Planning: Making use of productivity tools and creating processes; creating and maintaining plans, timelines, schedules, and other forms of documentation to track project completion

Program manager: A project manager who manages multiple projects for specific products, teams, or programs

Project: A unique endeavor which usually includes a set of unique deliverables; a series of tasks that need to be completed to reach a desired outcome

Project governance: The framework for how project decisions are made

Project life cycle: The basic structure for a project; consists of four different phases: initiate the project, make a plan, execute and complete tasks, and close the project

Project management: The application of knowledge, skills, tools, and techniques to project activities to meet the project requirements

Project management methodology: A set of guiding principles and processes for owning a project throughout its life cycle

Project management office: An internal group at a company that defines and maintains project management standards across the organization

Project manager: Individual who shepherds projects from start to finish and serves as a guide for their team, using their impeccable organizational and interpersonal skills every step of the way

Project task: An activity that needs to be accomplished within a set period of time by the project manager, the project team, or the stakeholder

R

Reporting chart: A diagram showing the relationships among people and groups within the organization and who each person or group reports to

Resource availability: Knowing how to access the people, equipment, and budget needed for a project

Resources: Anything needed to complete a project, such as people, equipment, software programs, vendors, and physical space or locations

Retrospective: A workshop or meeting with the project team to note best practices and learn how to manage a project more effectively the next time

Risk: A potential event which can occur and have an impact on a project

S

Scrum: An Agile framework that focuses on developing complex projects through collaboration and an iterative process. Work is completed by small, cross-functional teams led by a Scrum Master and is divided into short Sprints with a set list of deliverables.

Six Sigma: A methodology used to reduce variations by ensuring that quality processes are followed every time

Sprint: A phase in the Agile project management approach which has a defined duration with a set list of deliverables

Stakeholder: People who are interested in and affected by the project's completion and success

Steering committees: A group that decides on the priorities of an organization and manages the general course of its operations

T

Transferable skill: An ability that can be used in many different jobs and career paths

U

Urgency: Getting team members to understand that the project is important and to identify what actions need to be taken to move the project along

V

Values: Principles that describe how employees are expected to behave

W

Waterfall: A project management methodology that refers to the sequential ordering of phases

. LEARNING BOARD (what they meant)

How to answer:

"A learning board is a visual board that shows the ongoing learning activities of the team — such as new skills being learned, training tasks, and knowledge-sharing progress. It helps track growth and supports continuous improvement."

Project management methodologies:

1. Agile project management

Agile project management is an adaptive, iterative approach that breaks projects into chunks tackled in short bursts (called sprints). After each sprint, your team reevaluates the work you're doing to make any necessary changes and ensure you're staying on target.

2. Waterfall project management

Waterfall project management is a classic predictive methodology. With this method, you break your project into different phases. When one phase ends, the next one begins — there's no overlap between them.

3. Scrum

Scrum project management is a popular adaptive framework within Agile. Like Agile, scrum is centered around continuous improvement. You can use a framework like Scrum to help you start thinking in a more Agile way and practice building Agile principles into your everyday communication and work. In Jira, scrum boards facilitate iterative, incremental delivery by assisting teams in managing their work from one sprint to the next.

4. Kanban

Kanban is an adaptive visual methodology rooted in Lean project management. With Kanban, project tasks are displayed on a Kanban board, allowing team members to see the state of every piece of work at any time. Tools like Jira's Kanban board enhance this process by promoting continuous delivery, helping teams define workflows, and managing bottlenecks.

The 5 stages of project management

Imagine that you're starting a project from the very beginning. Project management doesn't come into play only when you start checking off tasks — you need to lay the groundwork first.

With that in mind, the Project Management Institute (PMI) established five distinct project management phases.

1. Project Initiation

Think the first step of the project management process is planning? Not quite. Before you can map out a strategy for your project, you need to get stakeholder buy-in with project initiation. Create a project charter to outline the business objective of your project for approval. You can also use a project poster, as it's a more digestible format that's faster and easier to read. In this stage, you should answer questions like:

- What's the business case for this project?
- Is this project feasible?
- Should we pursue this project?

To put it simply, at this stage, you're trying to decide if this project is worth tackling before you invest too much elbow grease.

A great way to help facilitate this discussion is a premortem, a thought exercise in which you imagine what could go wrong and decide how to prevent it.

2. Project Planning

If you decide to move forward, you'll head into the project planning stage. This is where you'll develop a detailed project plan that your entire team will follow—and thank you for! Planning is essential for avoiding scope creep. Questions to answer in this stage include:

- What is the goal of this project?
- What are the key performance indicators (KPIs)?

In project management, KPIs (Key Performance Indicators) are specific, measurable values that track a project's progress toward its goals, providing data-driven insights into performance. They act as a compass, showing if a project is on track regarding time, budget, quality, and effectiveness, helping managers make informed decisions and course corrections. Examples include cost performance index, schedule variance, defect rate, and customer satisfaction

- What is the scope?
- What is the budget?
- What are the risks?
- What team members are involved?
- What tasks are involved?
- What milestones need to be met?

This step ensures you and your team have shared expectations before you get started. If you think you're getting too caught up in the minutiae, you aren't. Strategic planning frameworks can help, too!

3. Project Execution

Grab your coffee and get your power cable because it's go-time. Stage 3 is where you and your team will roll up your sleeves and start conquering project tasks with your project plan as your guide. In the project execution stage, you'll need to:

- Allocate necessary resources
- Ensure assignees carry out their tasks
- Host status meetings
- Set up tracking systems

The bulk of the work happens in this stage, and it's also where you'll start to see your project really coming together. See? All that planning was worth it.

4. Project monitoring and reporting

Just because you have a project plan doesn't mean things will run smoothly on their own. It's like setting a budget for yourself — having the budget doesn't do anything if you don't keep a close eye on how you're managing your money.

That's why you must monitor project progress to ensure things stay on track. You should evaluate your project against the KPIs you established in the planning stage.

What should you do if your project feels like it's strayed from the path or fallen prey to scope creep? Take a moment to reevaluate. You can decide if you need to realign things or if your original plan needs to shift. That's the great thing about monitoring — you have regular checkpoints to correct the course.

5. Project Closure

The closing stage is about wrapping up loose ends. This includes:

- Hosting a postmortem or retrospective to evaluate the project
- Preparing a final project report
- Collecting and storing necessary project documentation somewhere safe. A collaborative documentation space like Confluence is great for this.

This not only gives your team the chance to officially end the project, but it also makes it easier to refer back to it when necessary.

Tools used in project management

- **Gantt charts**: Visual timelines that show project tasks, durations, and dependencies. They help managers schedule activities and track progress over time.
- **Work breakdown structure (WBS)**: Hierarchical representations of project tasks that break large projects into smaller chunks.
- **Project timelines**: Chronological representations of project milestones and deadlines.
- **Dashboards**: Customizable interfaces that display key project metrics, status updates, and performance indicators at a glance.
- **Boards**: Agile teams use Scrum boards to manage sprints and product backlogs and Kanban boards to manage workflows and limit work in progress.

Project management templates

Project management templates are shortcuts that save you time, keep your processes consistent, and ensure you're not reinventing the wheel for every project. Plus, they give your team a familiar structure to work with, making collaboration smoother. Here are the top templates for each project management phase:

Initiation

Start your project off right with these templates

- Competitive analysis: Scope out the competition.
- SWOT analysis: Identify your strengths, weaknesses, opportunities, and threats.
- Brainstorming: Get those creative juices flowing with a structured brainstorming session.

Planning

Set the stage for success with these project planning templates:

- Project plan: Create your roadmap for the entire project.
- Project kickoff: Start things off on the right foot with a well-organized kickoff.

Execution

Keep your project moving with these execution-phase templates:

- Kanban board: Visualize your workflow and manage tasks.
- Task tracking: Keep tabs on who’s doing what and when.
- Scrum board: Agile teams use this template to manage sprints.
- Work breakdown structure: Break down complex projects into more manageable tasks.
- Gantt chart: Map out your project timeline visually.
- Project roadmap: Plot your long-term project strategy.
- Meeting notes: Keep your team meetings productive and well-documented.

Monitoring

Use the project status template to keep stakeholders in the loop with regular updates and stay on top of your project's success

Closure

Wrap up your project effectively with these templates:

- Retrospective: Reflect on what went well and what could be improved.
- 5 Whys Analysis: Discover the root causes of issues you encountered.

What is a project management timeline?

A project management timeline is a schedule for your complete project from inception to completion. It includes the project's tasks, milestones, dependencies, and start and end dates, which define the structure and schedule of the project.

The timeline also breaks your entire project into its tasks and milestones, with a deadline assigned to each. This provides teams a visual time frame of when individual pieces are due and when the entire project is planned to be delivered.

Difference between a project schedule and a project timeline

A project schedule is like a detailed to-do list for your project. It outlines all the tasks, their due dates , and who's responsible for completing them. Think of it as breaking down your project into smaller steps and planning exactly when each will happen.
On the other hand, a project timeline is more like a big-picture overview of your project, showing important benchmarks in a visual format. A timeline view visually represents the project's key milestones and deadlines, so it's easier to track progress and spot potential delays.

While a project schedule focuses on the specifics of what and when,, a project timeline gives you a broader view of the overall progress. Both are essential tools to keep your project on track, but they do serve slightly different purposes to help you manage and communicate your progress.

It's easier for teams to switch between detailed schedules and high-level views with customizable project timeline software to strengthen overall planning, tracking, and collaboration.

PERT (Program Evaluation and Review Technique) is a project management tool for planning, scheduling, and coordinating projects by estimating the time needed for each task, especially those with uncertain durations.

Example of a project plan

Here is a simplified example of a project plan for a marketing campaign:

Project Name: Spring Product Launch Campaign

- **Project goals and objectives**:
- Increase brand visibility by 20%.
- Generate 1,000 leads within three months.
- Boost sales revenue by 15% during the spring season.
- **Scope**:
- Create a series of online and offline marketing materials.
- Launch a new product line.

- Run digital advertising campaigns.
- **Project schedule**:
- Phase 1 (Month 1-2): Campaign strategy and content creation.
- Phase 2 (Month 3): Launch and marketing rollout.
- **Resources**:
- Marketing team (4 members).
- $50,000 budget for advertising and materials.
- **Risks**:
- Unpredictable weather affecting outdoor events.
- Market competition leads to price wars.
- **Dependencies**:
- Completion of product development (before campaign launch).
- Availability of marketing materials (before advertising).
- **Quality assurance**:
- Regular reviews and feedback sessions to ensure high-quality content.
- **Task owners**:
- Campaign strategy: Sarah
- Content creation: John
- Product launch: Emily
- Advertising campaigns: Mark

What is an action plan?

An action plan is a detailed description of the steps needed to achieve one or more project goals. Action plans are critical project management resources that provide a clear roadmap for achieving project objectives. They can also help guide and support the execution of your project team management strategies.
An action plan differs from other planning tools like Gantt charts, project charters, and project scheduling software. These tools can benefit Agile project management, Scrum management, sprint planning, code review, and other project elements. However, they don't focus on specific goals, anticipated outcomes, actionable steps, and detailed execution for an entire project like action plans do.

Key components of an action plan

A good action plan example includes the following components:

- **Tasks**: Describe the specific steps required to complete the project.
- **Timelines**: Include details about when all tasks and the entire project will start and finish.
- **Responsible parties**: Assign team members to specific tasks.
- **Resources needed**: Identify the people, budget, and other resources required to complete the project successfully and on time.
- **Progress tracking**: Detail how you will track progress, address delays or other disruptions, determine completion, and measure performance.

When to use an action plan

While not essential, an action plan can improve almost any project management effort. However, some types of projects benefit significantly from a mandatory action plan.

- **Complex projects**: An action plan helps everyone involved see the big picture and more readily agree on goals, objectives, and success metrics.
- **Time-sensitive projects**: An action plan ensures everyone knows what's expected of them, which avoids delays and duplicate efforts.
- **Projects with clear goals**: Clearly delineated and prioritized goals act as anchor points for your action plan, ensuring maximum alignment of planned actions with those goals.
- **Resource-intensive projects**: A well-crafted action plan ensures your project gets the resources it needs when it needs them.
- **Crisis management**: Your action plan can help reduce chaos, confusion, and the time it takes to return to normal in response to a crisis.

Benefits of using action plans

Well-crafted and well-implemented action plans can provide numerous benefits for every project you take on, including:

Greater clarity and focus

Action plans provide a single source of truth for all project participants. This keeps everyone aligned with, informed about, and focused on their responsibilities and the project's goals.

Improved coordination

Action plans clearly delineate tasks, timelines, roles, and responsibilities. This shared clarity improves communication and collaboration among all project participants.

Enhanced accountability

A detailed action plan description, including information about roles, responsibilities, and progress tracking, enables you to help participants and stakeholders know who is responsible for what across every project's life cycle.

Efficient resource allocation

Each action plan you create includes detailed information about the resources required for each task. This helps avoid under- or over-provisioning.

Progress monitoring

Detailed descriptions of goals and timelines help make project progress tracking transparent for everyone involved. This allows your team to stay on track and minimize delays.

Challenges of using action plans

Action plans provide clear benefits for your project management efforts, but there are challenges associated with action plans that you should address proactively. Doing so helps avoid project delays, disruptions, or cancellations.

Setting unrealistic timelines

Enthusiasm, excitement, and inadequate information about requirements can result in overly ambitious and aggressive timelines. You and your colleagues must ensure that your action plan timelines are as accurate and realistic as possible to maximize the likelihood of project success.

Lack of goal alignment

An action plan that does not align with specific project and business goals is less valuable than no action plan at all. Clearly spell out goals in every action plan, and align every action and task with those goals.

Difficulty adapting to changes

Action plans may be unfamiliar or intimidating to project team members or stakeholders. This can lead to resistance to creating or even adhering to your action plan, especially if it's the first one your colleagues have worked on. Take the necessary steps to reassure and encourage team members who seem hesitant or resistant. Focus these efforts on key project participants or stakeholders struggling to adapt. Encourage team members to support those not yet comfortable with the process.

How to create an effective action plan

Now that you have an overview of the purpose, key components, use cases, benefits, and challenges of action plans, it's time to create one. Here are some best practices.

Define SMART goals

- Clearly state the project goal or objective the action plan aims to achieve and how they contribute to the overall project goals.
- Ensure that each goal is SMART—specific, measurable, achievable, relevant, and time-bound.
- When defining specific goals, seek and incorporate input from project participants and stakeholders. This will help engender agreement and support for those goals and your action plan.

Create a list of tasks

- Break down the goal into smaller, manageable tasks or steps. Make your task descriptions as clear and concise as possible to minimize confusion.

- Describe each specific task in detail. This aids in accurate resource allocation, precise task scheduling, and successful execution.

Assign responsibilities

- Assign each task to a specific team member or group. Wherever possible, designate backups for those responsible for the most critical tasks.
- Ensure that responsibilities are clear and that each person understands their role. Consider including confirmation from key participants to confirm that they understand and accept their assigned responsibilities.

Set deadlines

- Establish realistic deadlines for each task and the project as a whole.
- Consider and highlight the interdependencies that connect individual task timelines with that of the overall project.
- Set optimal, acceptable, and unacceptable deadlines for each task. Clearly state what will happen if the team misses optimal and acceptable deadlines and whether unacceptable deadlines are likely to delay or kill the project.

Identify resources

- Determine the budget, materials, people, and tools needed to complete each task and the expected providers of those resources.
- Include checks and balances in your action plan. This helps ensure resource availability and efficient allocation.

Monitor progress

- Implement a system for tracking progress against the action plan.
- Regularly review and update the plan to reflect changes and document progress.
- Should delays or disruptions occur, clearly delineate anticipated and actual effects on project progress. Share this information with project participants and affected stakeholders.

What is a project charter?

A project charter or brief is a high-level document outlining a project's purpose, goals, and scope statement. It’s a formal authorization for the project to begin and sets the foundation for project planning and execution. The project charter usually includes vital information such as:

1. **Project title**: A brief, descriptive name for the project.
2. **Project purpose or justification**: The purpose of the project and its expected benefits.
3. **Project objective**: Specific, measurable goals the project aims to achieve.
4. **Project scope**: A description of the project requirements, including specific goals, tasks, costs, and deadlines..
5. **Project deliverable**: The tangible products or services the project will produce.
6. **Project stakeholder**: A list of the individuals or groups with a vested interest in the project, such as customers, sponsors, and team members.
7. **Project timeline**: A high-level overview of the project schedule, including significant milestones and deadlines.
8. **Project budget**: An estimate of the resources needed to complete the project, including costs, staff, and other resources.

What is a project poster?

A project poster is a project planning tool that allows your project managers and team to think through the problem you're trying to solve, the possible solutions, and the ideal result of your project. A project poster is not a sporadic activity but rather a document that serves as a project overview. Unlike a static project charter, a project poster is designed to evolve and be updated as the project team progresses in research and project activities.
The project poster is a dynamic tool that allows teams to think through problems, explore potential solutions, and refine the project's vision. This continuous updating ensures that the poster remains a relevant and valuable resource throughout the project lifecycle, adapting to the evolving nature of the project.

Difference between milestones and tasks

Milestones and tasks serve different purposes in project management. Milestones are significant events or achievements that mark key points in the project timeline, while tasks are the specific activities or actions needed to reach those milestones. Understanding this distinction helps teams effectively plan and monitor their progress.

OKRs vs. KPIs

While measuring performance is crucial for any business, it's important to understand the distinction between different tracking frameworks. OKRs and KPIs are two approaches that often cause confusion, but they serve fundamentally different purposes.
The key difference between OKRs and KPIs is their core functions: KPIs act as ongoing vital signs that monitor your business's health and sustainability, measuring established processes and current performance levels. They typically remain consistent over time, providing stable metrics that teams can rely on for day-to-day decision-making.
On the other hand, OKRs are designed to drive transformative change and innovation. They're typically more ambitious and aspirational, setting stretch goals that push teams beyond their comfort zones.

While KPIs might track your current market share, an OKR might challenge your team to expand into three new markets within six months. Understanding this difference helps businesses effectively utilize both tools — KPIs for maintaining and optimizing current performance and OKRs for driving growth and innovation.

Pros and cons of KPIs

Like any business tool, KPIs have their strengths and limitations. The benefits of KPIs are:

- Better decision-making: Teams can make business decisions based on actual data instead of gut feelings.
- **Clear goal tracking**: Everyone knows exactly how close they are to hitting targets.
- **Early warning system**: Problems become visible before they grow into bigger issues.
- **Improved teamwork**: Teams align their efforts around shared metrics.
- **Employee motivation**: Clear targets help people understand what success looks like.
- **Performance visibility**: Progress is easy to see and share across the business.

While valuable, KPIs can present some difficulties that teams should watch out for, such as:

- **Over-complications**: Teams sometimes track too many metrics, losing focus on what matters.
- **Wrong metrics**: Choosing the wrong KPIs can lead teams to focus on the wrong activities.
- **Time investment**: Collecting and analyzing data takes significant effort.
- **Number fixation**: Teams might focus too much on numbers and forget qualitative factors.
- **Gaming the system**: People might find ways to hit targets without achieving real improvements.
- **Resistance to change**: Some team members might resist being measured.

KPI examples

Different industries track different KPIs based on their specific goals. Here are some common examples of KPIs that drive results:

Software and IT teams

Software and IT teams focus on metrics that reveal system health and development efficiency. Key IT KPIs include development velocity to track how quickly teams complete work, bug resolution time to measure issue fixing speed, and system uptime to monitor service reliability.
For incident response, teams use incident management KPIs like mean time to resolve, number of recurring incidents, and customer impact hours to improve system stability and minimize disruption.

What is a vision board?

A vision board is a powerful tool for bringing your goals to life through images, words, and affirmations. Vision boards keep your aspirations at the forefront of your mind, reminding you regularly and helping you manifest your goals.

In project collaboration, vision boards transform abstract concepts into tangible representations of goals that team members can rally around. They create a shared understanding of project objectives and keep everyone aligned on the desired outcome.
During project planning phases, teams can use vision boards to brainstorm ideas, establish priorities, and conceptualize successful outcomes.
Vision boards can include personal and professional goals, such as career milestones and skills you want to develop. You can create them digitally or physically, but the important part is placing them somewhere you'll see them every day. This transforms your goals into tangible targets that can visually guide your decisions and actions.

Understanding operational planning

Turning strategy into an operational plan isn't about doing more things right – it's about doing the right things more often. Operational planning is the process of using your strategic plan to create a detailed roadmap that guides daily and weekly actions, addressing goals, priorities, roles, and risks.

In contrast to strategic planning, the goal of an operational plan is to see how you will execute your strategy on a monthly and weekly basis. And since you work in a vacuum, you'll need to coordinate people, time, and budgets across teams— and possibly across departments.

What is resource planning in project management?

Resource planning in project management involves determining what you need for a project so you can secure and allocate those items efficiently. This strategic process ensures all necessary resources are available when you need them and that you have enough resources to support project activities and achieve project goals.

While "resources" might inspire visions of hard materials, it's important to note that things like team members and money count as project resources, too.

Generally, resources fall into one of the following buckets:

- People
- Budget
- Tools and software
- Equipment and space

Steps to create a practical resource plan

Crafting a comprehensive resource plan is the cornerstone of project success. This roadmap guides your project from conception to completion, ensuring you have the right resources at the right time. Let's take a look at the step-by-step process of developing an effective resource plan that will set your project up for success:

Define the project scope

The first step is clearly defining the project's scope and objectives. This involves:

- Identifying project deliverables and milestones
- Establishing project timelines and deadlines
- Determining project constraints and limitations

- Setting goals that align with the overall project vision

Clearly defining the project scope creates a solid foundation for resource planning. This step aligns resource requirements with project goals while ensuring all team members understand what tasks they need to accomplish and when.

Identify necessary resources

Identifying all the resources required to complete the project successfully means:

- Conducting a resource inventory check to understand the availability and capacity of existing resources
- Assessing team members' skills, experience, and qualifications
- Determining any additional resources that need to be acquired

During this step, it's crucial to be thorough and consider all aspects of the project. Remember to account for both tangible resources (like equipment and materials) and intangible resources (like time and expertise).

Once you have compiled a list of necessary resources, organize the chaos by grouping them into the following categories: people, software, equipment, and budget.

Estimate resource requirements

After identifying the necessary resources, estimate the quantity and duration for which each resource will be required. To do this:

- Break down the larger project into smaller issues or work packages
- Estimate the time and effort required for each task
- Determine the specific resources needed for each task and their duration of use

Be realistic in your estimations and consider potential risks or uncertainties affecting resource requirements. To ensure accurate estimates, it's often helpful to consult with team members or subject matter experts during this process.

Allocate and schedule resources

The best way to allocate and schedule resources is to assign them to specific tasks based on availability and overall project requirements. Develop a detailed resource schedule that aligns with project timelines. Additionally, ensure resources are not overallocated or double-booked.

When allocating resources, consider team members' skills, workload, and availability. Use project management software and tools like Gantt charts or calendars to develop visual representations of resource allocation.

Monitor resource utilization

Resource planning extends far beyond the initial allocation phase – continuous resource utilization monitoring is necessary for project execution. This ongoing process involves vigilantly tracking resource performance and project progress, allowing you to identify discrepancies between planned and actual resource usage. Maintaining this watchful eye will enable you to quickly address resource conflicts or bottlenecks, ensuring that every asset—personnel, equipment, or budget—is optimized for peak efficiency.
Adaptability is vital in this phase of resource planning. Your resource plan should be viewed as a living document, evolving in response to changes in project scope, timelines, or resource availability.

Capacity planning vs. capacity management

As you start to sink your teeth into capacity planning, you might also hear the term capacity management. It's most frequently used in regards to IT teams and projects, but does crop up in other industries as well.
Capacity management is a broader concept that describes a business' overall ability to oversee and coordinate all of the resources they have available to meet project requirements.

Think of capacity management as the umbrella term, and capacity planning is a single piece of the overall capacity management process – sort of like how interviews are a piece of your overall hiring process.

Capacity planning vs. resource planning

You might also hear mention of resource planning. It's a term that's often used interchangeably with capacity planning, but there's actually a difference.

Capacity planning looks specifically at your people resources to determine if you have the skills and available hours to meet a project's requirements. For example, can your team reasonably fulfill that data request by Friday?

Resource planning, on the other hand, is about the allocation of specific resources, whether it's people, budget, software, equipment, materials, and more.

The goal is to make sure that you're appropriately utilizing each particular resource to make the most of it. For example, could you make some changes to your data dashboard to help it pull those numbers more efficiently? Are there other reports that you should delay running to make space for this one? How could you maximize the impact of that particular tool?

Why should you have a project kickoff?

As the first meeting between the project team members and possibly the client or sponsor, the project kick-off is the best time to set expectations and foster strong team morale. Usually, the kick-off takes place after the statement of work or project poster has been finalized and all parties are ready to go.

What's the difference between a project kick-off meeting with your team and with customers or clients?

It could be that the project you're about to kick-off is internal, such as a new document management system rollout or the build of a new design feature. Or you're about to start an external project for a client or customer. In both cases, the initial kick-off meeting has the same basic function; it's a meeting to set the tone, style, and vision for the project as a whole, and to establish common goals, tasks, and timelines with your project team.

For client work, your project kick-off meeting will include introducing the team working on the project, talking the client through the project stages, and agreeing on how to effectively work together to successfully deliver the project. It's a chance for your team to get a stronger contextual grounding in the project, to show their understanding and enthusiasm for the project, and set the stage for a positive working relationship with your client.

What is a RACI chart?

A RACI chart, or responsibility assignment matrix, is a project management tool that defines and clarifies roles and responsibilities within a project team. RACI charts categorize these roles into four components: Responsible, Accountable, Consulted, and Informed. It helps establish clear communication, improve decision-making, and ensure accountability for tasks or deliverables.

- **R**esponsible: The responsible individual is delegated a responsibility from the accountable person and must complete that responsibility within agreed-upon parameters and an agreed-upon deadline. A task may have more than one responsible individual.
- **A**ccountable: The accountable individual ensures that all the responsible members complete the task. Accountabilities should not be delegated; it is best to assign the task to a single individual who can serve as the decision-maker and guide.
- **C**onsulted: The consulted individual is the team's knowledge-holder. They're available for help, extra context, and advice on the task. Identify these people early on so you can incorporate them into the project and its workflow.
- **I**nformed: The informed party is typically a stakeholder, leadership team, or approver who wants and needs information about the team's project. Ensuring there is an informed party promotes internal transparency, team alignment, and accurate project timelines.

What is a work breakdown structure (WBS)?

A work breakdown structure (WBS) in project management is a hierarchical decomposition of a project into smaller components. It starts with the overall project goal at the top and then breaks things down into smaller, more efficient deliverables.

Each level of a work breakdown structure provides more detailed descriptions of project work, starting from the high level that defines the project goal. The next level outlines major deliverables, followed by sub-deliverables, and finally, the work packages.

What is the purpose of a WBS?

A WBS in project management organizes and defines the project scope by breaking it down into manageable sections. It sets a clear framework for [project planning](), execution, and control.
The WBS clearly outlines each task to help assign responsibilities. Each work package has enough detail to accurately predict resource requirements and durations, aiding in estimating costs and timeframes.

Use a WBS to keep track of project plan completion and ensure your project stays on track.

Types of work breakdown structures

There are different ways to structure a WBS depending on your project needs:

Deliverable-based WBS

A deliverable-based WBS focuses on the project's output. It breaks the project into major deliverables instead of phases. This is more useful for projects where the end product or the output is clear and distinct.

Phase-based WBS

Unlike deliverable-oriented WBSs, a phase-based WBS divides the project according to its phases or stages. Each phase represents a major section of the project timeline, and all the phases break down into further tasks and activities.
This type is ideal for projects with well-defined stages, such as software development or construction.

Key components of a work breakdown structure

Each component of a WBS serves a different purpose. They have specific roles and levels of detail. The highest level depicts the ultimate goal, and the lowest level defines specific details.

The key components of WBS include the following:

- **Phases**: Phases represent the major stages of the project life cycle. Each phase groups relevant activities and tasks.
- **Tasks**: Tasks are individual activities within each phase of a project.
- **Subtasks**: Each task splits into subtasks, allowing for precise planning and execution.
- **Deliverables**: Deliverables are tangible or intangible outputs resulting from the completion of tasks.
- **Sub-deliverables**: Sub-deliverables are smaller outputs that contribute to completing larger deliverables.
- **Work packages**: Work packages are the smallest units of work in a WBS. They are detailed tasks or groups of tasks with specific deliverables.
- **Dependencies**: Dependencies indicate the relationships between tasks. They display which tasks to complete before others can begin.
- **Estimates**: Estimates approximate the resources, time, and costs required, helping with budgeting and scheduling.
- **Milestones**: Milestones mark the completion of key phases, deliverables, or other important project goals.

How to create a work breakdown structure

Here are the steps involved in creating a WBS:

Step one: Define project scope and objectives

Clearly define the overall project scope and specific objectives. This involves understanding the project's goals, constraints, and requirements. A well-defined scope provides the foundation for the entire WBS. The stronger the foundation, the greater your chances of success.

Step two: Identify major deliverables

Next, identify the main outputs or the project deliverables. List the key results that the project aims to achieve. For example, the major deliverables for a mobile application project could include UI design, backend development, database setup, etc.

Step three: Break down deliverables into sub-deliverables

Once you identify the major project deliverables, divide them into smaller, more manageable sub-deliverables. For example, sub-deliverables could include wireframes, mockups, and design reviews for a user interface deliverable.

Step four: Identify work packages

After breaking down the deliverables, divide the sub-deliverables into specific work packages. List all the work packages needed to achieve the sub-deliverables. For example, work packages for wireframe sub-deliverables could include initial sketches, reviewing samples, and finalizing the wireframe.

Step five: Define activities within each work package

Identify and describe the detailed activities required to complete each work package. List all management tasks, resources, and dependencies necessary to achieve the work package's goals.

Revisiting the example of sketching initial wireframes, activities could include gathering requirements, creating a basic layer, and presenting the initial sketch for review.

Step six: Create the WBS chart

Finally, organize the WBS components into a visual chart or diagram. This chart represents the hierarchy of the project scope, from the overall project to individual management tasks. Use the Gantt chart model for this step.

Fortunately, you can simplify the process with a work breakdown structure template. It breaks down large tasks into smaller pieces to make them more manageable and easily achievable. Jira workflows help improve the efficiency of project management teams.

What is proof of concept?

A Proof of concept (POC) is the process of gathering evidence to support the feasibility of a project. Project managers perform a POC in the early stages of development before committing too much time and resources to a project.

The purpose of a proof of concept is to demonstrate project viability to product teams, clients, and other stakeholders. A POC may uncover flaws, leading the company to revise or abandon a project. In other cases, a POC can confirm the likelihood of project success, providing evidence of viability for development.

Why is proof of concept important?

A proof of concept is important for several reasons, including:

- **Finite resources**: A POC tests project feasibility, ensuring companies pursue only viable projects to prevent wasting resources.
- **Enhanced trust**: A POC provides evidence of project viability. It helps earn trust among stakeholders and investors by increasing the likelihood of a return on investment over an idea that lacks planning and testing.
- **Better planning**: A POC identifies roadblocks and informs project direction. Thinking ahead can help teams solve logistical issues before they arise, making navigating the later stages of development easier.

Key components of a proof of concept

An effective proof of concept contains several components. While POCs vary by business type, they should include the following elements:

- **Problem statement**: Describe what challenges the project will solve and what needs it will address.
- **Project definition**: Define what the project intends to do.
- **Project goals**: Outline the intended outcomes and how you will measure them.
- **Required resources**: List what tools and resources you will need to produce the intended results.

How to create a proof of concept in 7 steps

Creating a document or presentation increases the likelihood of stakeholder and investor approval. Below are the steps to writing an effective proof of concept.

Step 1: Define your project idea

You should first identify the project to test. A brainstorming template can help generate ideas, while a product launch template can help define the need and the market.
It's important to ask the following questions: What problems will this project solve, and for whom? The product manager should have the required market knowledge to answer these questions.

Step 2: Set your success criteria

After defining the project, decide on the benchmarks to measure the success or failure of the project. If the project is for a client, consult them about how they define success. If not, conduct the necessary research to determine success criteria.

Step 3: List the resources you will need

Build an exhaustive list of tangible and intangible resources the team will need to execute the project. Resources include material goods, technology, tools, and human capital.

Step 4: Determine your timeline

Create a product roadmap that overviews the timeline for the proof of concept from ideation to development. For example, will there be a full launch from the beginning, or will it start small and then scale? If the latter, how quickly will it scale? These details provide an idea of the pace of the project.

Step 5: Develop and test your prototype

Once you have decided on the project scope, you can develop and test your prototype with the target audience. Pay attention to how it addresses their pain points. It may help to bring in other teams and stakeholders to get a fresh perspective. Gather all feedback, both positive and negative.

Step 6: Review and refine

After gathering feedback, evaluate how the prototype performed against the predefined success criteria. Conduct a competitive analysis to evaluate its performance against similar solutions. Use the information from this step to improve on areas that fall short of success.

Step 7: Present your POC

Present your idea to stakeholders for development approval. Provide a clear model of how the idea works—visuals and illustrations can be helpful. Emphasize how it addresses pain points and meets the audience's needs. If the proof of concept meets the success criteria, approval is likely.

What is whiteboarding?

Whiteboarding is a collaborative technique that involves visual brainstorming on a physical or virtual whiteboard. This approach enables teams to capture ideas and illustrate concepts in an interactive way, fostering creativity and participation.

What is a mind map?

A mind map visualizes ideas and concepts, providing a systematic way to capture and organize thoughts. It helps users understand concepts by breaking them down into parts. It helps teams generate ideas and better understand and organize existing information.

The flexible structure of idea mapping offers an expansive and adaptable framework. It helps you think about and understand how information works.

What are mind maps used for?

Mind maps have diverse applications across various fields. They enhance the way teams and individuals structure their ideas and approach tasks. Mind mapping can be used in several ways, including:

- Brainstorming and ideation: Mind mapping sparks creativity in a cross-functional team, allowing free-flowing thought generation.
- Project planning and management: Good project management often begins with brainstorming and planning. Mind mapping is essential for understanding the project management phases and assists in outlining the project design, project timeline, and project life cycle.
- Note-taking and knowledge management: Mind mapping simplifies complex information, aiding project documentation.
- Creative writing and content creation: Writers use mind maps to structure their ideas and develop characters.
- Problem-solving and decision-making: Mind mapping can be used as a strategic tool for dissecting issues and finding innovative solutions.
- Personal organization and goal setting: Idea mapping helps set clear, achievable objectives.

What is a concept map?

A concept map is a visual representation that illustrates the relationships between different concepts, ideas, or information. Concept maps typically portray ideas as boxes or circles, known as nodes, and organize them hierarchically with interconnected lines or arrows, known as arcs.

These lines have annotated words and phrases that describe the relationships to help understand how concepts connect. To create concept maps, start by identifying the main idea, then add related subtopics around it, connecting them with lines and descriptive labels to structure and organize information visually.

What are the 12 essential principles of project management?

A successful project management plan provides all the information needed to carry out a project from inception through completion and evaluation.
Regardless of your methodology, your approach must successfully address project requirements, stakeholder expectations, and business needs and goals. Adhering to the following 12 essential project management concepts can help assure your project's success.

Establish the project structure

A project is larger in scope than a typical task or activity. Structure your project in a manageable, understandable way that is easy for the project management team and stakeholders to evaluate.

Define project goals and objectives

Defining the goals and objectives of your project is essential to establishing its structure and gaining support from project management team members and stakeholders. Articulate the goals and specific objectives of the project clearly, and ensure these align with the company's overall objectives.

Identify a project sponsor

Sponsor support is crucial to the success of a project. A project sponsor can provide enthusiastic assistance and helpful guidance for the project. Sponsors also can garner additional support and resources from multiple stakeholders and teams as necessary.

Form roles and responsibilities

Roles and responsibilities will vary depending on business requirements, stakeholder expectations, available people and resources, and other factors. Define these roles clearly to ensure effective collaboration and avoid duplication of efforts and unaddressed project needs.

Ensure team accountability

Foster a culture of accountability within your team. Implement ways to track and measure individual and collective responsibility.

Manage project scope and changes

Adaptability is key throughout a project’s life cycle. Goals, needs, expectations, available people, and resources are subject to change at any time throughout a project’s life cycle. Every project management plan must include a robust strategy and clearly defined processes for managing project scope and dealing with changes.

Create a risk management plan

Risks can quickly threaten the project, if not the business itself. Project management plans must include comprehensive steps for identifying, assessing, and mitigating project risks. Regularly review and update the risk management plan as the project progresses.

Monitor progress

The project management team should monitor progress at every stage of every project. Establish key performance indicators (KPIs) to help measure progress toward established goals. Your project management plan must also include a system for regularly tracking, assessing, and reporting project progress.

Focus on effective value delivery

The goal of every project is to deliver value to stakeholders and to the business as a whole. Give the highest priority to tasks that contribute to the project's success. Include methods and tools that enable your team to continuously assess and adjust priorities based on stakeholder needs and project objectives.

Establish a performance management baseline

Effective performance management is key to project management success. Establish a performance management baseline to evaluate and track team and project performance. Use performance metrics to identify areas for improvement and recognize achievements.

Finalize the project

To close out your project successfully, complete all the necessary tasks defined in your project plan. Ensure that all deliverables meet quality standards. Obtain necessary stakeholder and management approvals.

Examine successes

Reflect on the project's successes, and highlight the key factors that contribute to positive outcomes. It's equally important to document lessons learned to inform future projects and sustain continuous improvement.

What is the iterative process?

The iterative process is a cycle of repeated work that a team creates to quickly prototype their product and get feedback from customers and stakeholders. The team then uses this feedback to improve the product in the next work cycle and repeats this process until they achieve the desired outcome.

Another way to define the iterative process is by looking at what it's not. It's not a linear or sequential process. It's not a rigid, inflexible process that stays the same each time a team completes it. On the contrary, the iterative process is a flexible, cyclical way of working. Team members collaborate and solve problems, ultimately enhancing the product using data they've gleaned from previous cycles.

Steps in the iterative process

To create an efficient iterative process that improves your products and brings you closer to business objectives, you need to get on the same page as your team. No process is universal, as each team has a different way of executing them. The best way to align the process is to use Confluence to map out and clarify the details of each step.

An iterative process involves five stages:

Plan

Begin by setting your goals and objectives for the project at hand. What do you want to achieve, what milestones do you need to reach, and by when?

Next, identify the stakeholders—all those whose decisions will shape the work. Planning involves breaking down a complex project into smaller iterations and outlining each scope so the work is clear to all team members.

Design

In the design phase, you need to develop a solution for the current iteration. Will you achieve the goal of this work cycle by building a prototype, conducting research, or enhancing existing features? Part of this stage involves defining which metrics or KPIs to use to measure the success of this iteration.

Implement

Implementation is where the rubber meets the road, and you execute all your plans. Often, this means the building of a prototype or the development of a feature. At this stage, getting feedback from stakeholders is key to the product's continued improvement. There will be future cycles until the successful launch, so every bit of information can feed into the evolution of the work.

Evaluate and test

In the evaluation and testing stage, you determine if the iteration meets its objectives. Does it pass quality standards? Do customers rate it favorably? As always, your analysis involves identifying areas for improvement. You need to test your solution for quality and effectiveness. If this cycle of work meets the goals and standards, then the next iteration becomes easier.

Iterate and improve

The stage after testing involves using the testing information and stakeholder feedback that you've gathered throughout the iteration to inform the next cycle of work. A critical assessment of the previous work will lead to adjustments to your plan, design, objectives, and scope. If you do this well, the next iteration should continue to enhance your product.

This is the last step of the iterative process but not the last step of your work. Here, you repeat the entire cycle from the top and continue until you reach the desired outcome.

What is dashboard reporting?

Dashboard reporting transforms essential business data into streamlined visual points. It provides a visual interface that makes complex data easy to interpret for users at all levels.

A well tailored dashboard uses charts, graphs, and timelines, often on a single page, so your audience can easily gather or pull insights.

This reporting method ensures all stakeholders are on the same page by providing unified data views, promoting consistency and clarity across the organization.

Key components of dashboard reporting

- **Data visualization**: Data visualizations such as charts, tables, and graphs are essential for presenting information clearly. For example, use bar charts to compare metrics within the same category, such as organic versus paid traffic, or visualize revenue from multiple products with a pie chart showing the percentage each product contributed to your overall quarterly revenue.
- **Charts**: Charts and diagrams provide important information in a single, easy-to-understand visual. Whether it's workflow, project updates, market share data, or customer feedback, charts highlight the critical points while eliminating the need for your audience to sift through data.
- **Key performance indicators (KPIs)**: Include the KPI data for each product on the same dashboard report. This may include service issues, customer satisfaction ratings, and production costs. Dashboards can display all the metrics needed for comprehensive performance measurement.
- **Real-time updates**: Dashboard reporting is dynamic. Link it to project timelines to provide real-time completion dates, estimated time to market, or the latest service information. For example, product managers can see current timelines for project completion, allowing them to understand roadblocks or dependencies.
- **Customizable widgets**: Tailoring dashboard reports allows your audience to view the underlying data and enhance their understanding. This can include open tasks remaining in a project milestone, high-priority service tickets, or dependencies delaying release dates.

Understanding enterprise risk management

Unlike traditional risk management, which often focuses on specific areas of risk within silos, ERM elevates the approach to a management-level, strategic process. This shift calls for decision-making at the highest levels of a company, integrating risk considerations into the core strategic planning and execution processes.

With senior leadership involvement, an enterprise risk management strategy integrates risk-based assessment and management into strategic planning and decision-making. Transparency via risk reporting builds stakeholder trust, and key components enable a comprehensive approach aligned with the business.
The key components of ERM include:

- Risk identification
- Risk assessment

- Risk response
- Risk monitoring

Key components of enterprise risk management

Risk identification

Identifying risks involves pinpointing potential adverse events, such as financial losses, safety hazards, and security threats, through a risk-based analysis. It demands a deep understanding of the company's goals, operations, and environment. There are several methods you can use to identify risks, including risk registers, brainstorming sessions, and SWOT analysis.

- **Risk registers** document a company's risks, ratings (scores or risk levels), responsible executives, and affected areas and summarize the actions the company takes in response to the risk.
- **Brainstorming sessions** are a common approach to identifying project risk and a great team-building exercise.
- **SWOT analysis** helps companies identify internal and external factors that could affect their project objectives.

Risk assessment

The core of enterprise risk management lies in risk assessment and management. Risk assessment evaluates the likelihood and impact of potential risks. Prioritizing risks involves assessing severity, cost, risk attitude, resources, categories, interdependencies, and management capabilities. This comprehensive evaluation guides strategic risk mitigation and resource planning.

Risk mitigation

Risk mitigation aims to decrease the likelihood or impact of managed risks. Risk mitigation strategies include the following:

- **Risk acceptance** involves recognizing a risk without action.
- **Risk avoidance** means steering clear of risky activities.
- **Risk reduction** includes implementing controls to lessen risks.
- **Risk transfer** involves shifting risks to others (for example, through insurance).
- **Risk sharing** includes distributing risks among partners.
- **Risk quantification** involves understanding financial implications to prioritize risks.
- **Risk digitization** means using technology to improve risk management.
- **Hierarchy of controls** involves applying the most effective controls first.
- **Contractual risk allocation** uses contracts to allocate risks.
- **Training and education** enhance risk management knowledge.

- **Key risk indicators (KRIs)** are useful for monitoring risks with metrics.

Risk monitoring and reporting

Ongoing monitoring and reporting ensure risk strategies stay effective and the risk profile stays current. Continuous monitoring tracks identified risks, mitigation progress, and new risks on a daily basis. Effective reporting provides transparency through clear visibility into risk exposure and response effectiveness.

KRIs serve as quantifiable metrics that signal increasing risk exposure. These indicators align with the company's critical success factors and risk appetite, making them relevant and actionable for maintaining organizational stability and stakeholder trust.

What are the different enterprise risk management frameworks?

Enterprise risk management frameworks offer structured methods for companies to manage risks comprehensively. These frameworks integrate risk management with business processes and strategy. Key enterprise risk management frameworks include the following:

1. **The COSO ERM framework** is a comprehensive model for risk management that uses a structured approach.
2. **ISO 31000** provides principles and guidelines on risk management that are applicable across various industries.
3. **The ITIL Service Lifecycle** manages IT services, contributing to risk management in the IT sector.
4. **NIST Risk Management Framework** focuses on integrating security and privacy into the system development life cycle.

The benefits of enterprise risk management

Implementing enterprise risk management enhances decision-making, aligns risk appetite with strategic initiatives, and improves business continuity by proactively mitigating risks. Enterprise risk management also supports regulatory compliance and fosters a risk-aware culture, bolstering a company's resilience and contributing to sustainable growth.

Enhanced decision-making

Enterprise risk management enhances decision-making by clarifying potential risks and aligning them with company goals. It uses methods such as risk and control self-assessment and high-level risk assessment to identify and manage risks, promoting a culture that prioritizes organizational agility and resilience to managed risks.

Improved business performance

Effective risk management enhances business performance by proactively identifying and mitigating threats, leading to fewer disruptions and financial issues. It ensures the effective use of resources, maintains operations, and protects the company’s reputation, which supports strategic decision-making and its competitive advantage.

Better resource allocation

Enterprise risk management optimizes resource allocation by helping leaders prioritize risks and align budgeting with company goals. Integrating enterprise risk management with budget planning focuses resources on critical areas, enhancing performance and efficiency.

Increased stakeholder confidence

A robust enterprise risk management framework builds stakeholder confidence by showing a commitment to effective risk management, protecting assets and reputation, and improving market credibility. Using enterprise risk management software strengthens the ability to anticipate and manage risks, supporting business resilience and growth.

How to implement an effective enterprise risk management framework

Implementing enterprise risk management requires a systematic approach to the assessment and management of risk, integrating it into operations and planning through defined steps. Here’s a step-by-step guide for an effective enterprise risk management program:

Step 1: Establish company objectives

Objective: Define clear business goals and understand the current and potential risks associated with new revenue streams or operational changes.

Roles and responsibilities: Senior management and department heads should collaborate to align strategic objectives with the company's goals, ensuring a unified direction.

Step 2: Identify risks

Objective: Systematically identify all strategic, compliance, operational, reputational, and financial risks that could affect the company.

Roles and responsibilities: The chief risk officer, in collaboration with risk managers, departmental teams, and business unit heads, identifies risks using tools such as risk assessments and audits.

Step 3: Assess and prioritize risks

Objective: Evaluate the significance of each identified risk by assessing its likelihood and potential impact on the company.

Roles and responsibilities: Risk assessment teams, often comprising risk managers and departmental representatives, use qualitative and quantitative methods to prioritize risks.

Step 4: Implement risk responses

Objective: Develop and implement strategies to manage identified risks. Responses may include accepting, preventing, sharing, or mitigating risks through controls or other measures.

Roles and responsibilities: Department heads, in coordination with the enterprise risk management team, are responsible for implementing risk responses.

Incorporating project management tools and techniques at this stage can streamline the execution of risk response strategies.

Step 5: Monitor and report

Objective: Continuously monitor the risk environment and the effectiveness of risk responses. Regularly reporting to stakeholders is essential for transparency and accountability.

Roles and responsibilities: The enterprise risk management team, along with departmental leaders, should establish a process for ongoing day-to-day risk monitoring and reporting, including setting KRIs and holding regular team meetings.

Challenges in enterprise risk management implementation

While ERM is beneficial, it also comes with some challenges. It’s possible to overcome difficulties in enterprise risk management, such as:

- **Cultural resistance**: Overcoming integration struggles and ensuring regulatory compliance through continuous education, demonstrating enterprise risk management’s value.
- **Early cross-departmental stakeholder involvement**: Ensuring alignment with strategic initiatives.
- **Proactive legal and regulatory risk monitoring of managed risks**: Guaranteeing adherence to enterprise risk management process expectations.

Use Confluence for enhanced enterprise risk management

Enterprise risk management navigates business complexities by enhancing decision-making and strategically aligning risk management. It builds confidence through proactive practices and overcomes adoption barriers with alignment and education. A robust enterprise risk management framework sustains growth and resilience by mitigating threats and revealing opportunities.

Using Confluence as the knowledge hub for managing and documenting enterprise risk management processes offers significant benefits, including:

1. **Confluence simplifies the discovery and referencing of enterprise risk management information**, promoting a culture of knowledge sharing and collaboration with Confluence’s open space structure.
2. **Confluence maintains controlled access to sensitive data**, ensuring confidential information is visible only to authorized people.
3. **Confluence's powerful search capabilities and intuitive organization** make it easy to access enterprise risk management-related documents and processes.

Confluence templates foster productive, risk-conscious environments. They empower enterprise risk management by streamlining collaboration, info sharing, and secure document management via organized spaces featuring pages, whiteboards, videos, and databases. Confluence’s blend of open access and permission control promotes transparency yet safeguards sensitive data, benefiting enterprise risk management projects by making it easy to find and distribute critical info.
Enterprise risk management-related features include:

- **Flexible documentation** through Pages (text, images, code, tables, and more).
- **Organized project documents** in Spaces, which keep related documents together and make permissions a breeze.
- **Notification/sharing**, which helps distribute these processes and decisions.

[Try Confluence]

Enterprise risk management: Frequently asked questions

What are the three types of enterprise risk?

Enterprise risk management identifies, assesses, and manages operational, financial, and strategic risks. Operational risks arise from internal failures, such as cybersecurity issues. Financial risks, such as market or credit issues, are linked to the economy. Strategic risks result from high-level decisions affecting long-term objectives, such as market and regulatory changes.

What's an example of enterprise risk management?

[Johnson & Johnson] uses an enterprise risk management framework to manage various risks, ensuring continuity and safeguarding assets. For supply chain risks, they may diversify suppliers or create contingency plans.

What's the difference between enterprise risk management and traditional risk management?

Enterprise risk management differs from traditional risk management by integrating risk considerations across the company and involving senior executives and the board in supporting strategy, unlike traditional methods that focus on isolated risks.

What is a risk register?

A risk register is a [project management tool] where you list every known risk that could affect your project. It outlines the risk, how it might impact your goals, and what the team is doing to prevent or manage it. Think of it as a shared spot where everyone can see the risks and stay on top of them before they turn into bigger problems.
In project management, the risk register isn't just a checklist—it's a living document that evolves as your project progresses. By regularly updating it, your team can catch new risks early and adjust plans swiftly. This proactive approach keeps everyone aligned, ensures accountability, and supports better decision-making throughout the project lifecycle.

ERT charts vs. Gantt charts

PERT charts and [Gantt charts] are valuable [project management tools] that play distinct but complementary roles. PERT charts excel at visualizing task dependencies and

estimating project timelines based on critical paths. They depict the project as a network, where arrows represent tasks and nodes signify milestones or task completion points. The emphasis lies in understanding how tasks are interrelated and how delays in one task can impact subsequent tasks.
Gantt charts, on the other hand, focus on scheduling tasks over time. Imagine a bar chart that lists tasks along the vertical axis and time across the horizontal axis. A bar that stretches across the timeframe represents each task and signifies the projected completion time. This visual representation makes it easy for project managers to identify task durations, overlaps, and potential scheduling conflicts.

In essence, PERT charts provide a high-level overview of the project's flow and critical path, while Gantt charts offer a more granular view of the project schedule day by day. By leveraging these tools, project managers gain a comprehensive understanding of their projects, considering the task dependencies and the specific timeframes allocated to each activity.

Understanding deliverables

Deliverables, which refer to the specific outputs, products, or results that a project intends to produce and deliver to its stakeholders, are crucial to project management. These can be tangible, such as a building or a report, or intangible, such as a software application or a training program.

Deliverables are essential components of the project scope. Project managers use tools such as a Gantt chart or project management software to track deliverables, ensuring timely, high-quality completion.

What is acceptance criteria?

Acceptance criteria are the conditions that a product, user story, or increment of work must satisfy to be complete. They're a set of clear, concise, and testable statements that focus on providing positive customer results. Acceptance criteria don't focus on how you reach a solution but rather on the final desired outcome of the task.

Acceptance criteria vs. user story

Acceptance clarifies the distinction between acceptance criteria and user stories. Though interrelated, the two concepts serve distinct purposes.

User stories epitomize the why behind a product backlog item, which is essential for backlog grooming. They encapsulate the customer's needs, outline the desired functionality or feature, and express the rationale for the development effort. Acceptance criteria establish conditions to fulfill for the item to be complete. These criteria measure the success of the development process, ensuring that the delivered functionality aligns with the user's requirements.

Consider a user story that states, "As a customer, I want to search for products by name so that I can easily find the items I'm looking for." The corresponding acceptance criteria might include the following:

- The search function should return results that exactly match the entered product name.
- The search function should also return results that partially match the entered product name.
- The search results should be displayed in a clear and organized manner.

User stories describe the functionality or feature from a user-centric perspective. Acceptance criteria provide a more technical and measurable definition of a successful implementation.

What is lead time?

Lead time is the elapsed time from the start of a process to its completion. It can be applied to any process in which a set of actions takes place.

For example, a highly customized product, such as a work of art, may have an extended lead time due to its unique, customer-centric requirements. Standardized products, such as vacuum cleaners, may have a short lead time due to established production processes and inventory management.
Lead-time metrics are crucial for understanding and optimizing various business processes. They're an essential part of strategic planning and decision-making, leading to improved customer satisfaction and continuous improvement.
The concept extends beyond manufacturing into service industries, software development, and even administrative processes. A restaurant's lead time might be the duration from order placement to meal delivery, whereas a consulting firm measures lead time from client engagement to project completion.

How to calculate lead time

Calculating lead time follows a straightforward formula:

Lead Time = End Date - Start Date.

What is process mapping?

Process mapping visually represents the flow of work within a process. It occurs during project planning and involves creating a step-by-step diagram that shows who does what, when, and how, so everyone is on the same page. The method provides the following:

- **Visualization:** Visualizing work chronologically helps teams quickly understand the flow from start to finish.
- **Improvement**: Teams can identify roadblocks and inefficiencies visually, allowing them to refine the process for a better outcome.
- **Standardization**: Including process mapping in the product development life cycle helps teams work more efficiently, improves quality, and identifies gaps.
- **Training**: Process maps are effective training tools for new employees, providing an end-to-end understanding of the work and their specific role in accomplishing it.
- **Communication**: Process maps communicate essential activities to team members, partners, and stakeholders about the work, its sequence, and potential bottlenecks.

Types of process maps

Flowchart

Swimlane diagram

What is risk analysis?

When identifying potential risks, organizations use risk analysis to evaluate possible risks and determine the likelihood of risk events or risks occurring.

When assessing impact, it is crucial to decide on the acceptable level of risk for the organization. When developing mitigation strategies, project planning is a fundamental stage because it ensures clear communication and continuous monitoring of high-impact risks throughout your organization.

What are the most common types of risks?

Companies face various types of risks that can impact their operations, finances, reputation, and overall success such as:

- **Strategic risks**: These risks develop from fundamental decisions about a company’s objectives—affecting strategy development and implementation. This includes competitive pressure, technological changes, economic shifts, and regulatory changes.
- **Operational risks**: When potential losses result from inadequate or failed internal processes, people, systems, or events. Born from day-to-day business activities, these risks include internal fraud, external fraud, process failures, system failures, and human error.
- **Financial risks**: The possibility of losing money or not achieving expected economic outcomes, which impact a company’s financial health, including market, credit, liquidity, operational, and legal risks. Enterprise risk management strategies, such as diversification and hedging, can help mitigate financial risks.
- **Compliance risks**: Potential for legal penalties, these risks are financial losses or material damage resulting from a company’s failure to adhere to industry laws, regulations, internal policies, or prescribed best practices. This includes privacy breaches, workplace health and safety non-compliance, environmental regulation violations, and involvement in corrupt practices.
- **Reputational risks**: Involves the potential loss of the company’s reputation, possibly affecting financial standing, market position, and stakeholder trust. Negative publicity, product failures, legal issues, and ethical breaches are often the culprit.
- **Natural disaster risks**: Earthquakes, floods, or hurricanes can cause significant disruptions or damage to a business or project. Organizations often transfer such risks by purchasing an insurance policy from an insurance company to protect against property damage, business interruption, or financial loss.
- **Other risks**: Additional unique threats can include recurring risks, which repeatedly pose threats over time. Recognizing recurring risks is essential for prioritizing and monitoring these threats effectively.

5 steps for successful risk mitigation

Step 1. Identify all possible risks

The first step in risk mitigation is to uncover all potential risks that could affect your business. This is where you leave no stone unturned.

It involves thoroughly analyzing your operations, industry, and external environment. Make sure that risk identification is closely aligned with your company's business strategy to prioritize hazards that could impact your strategic objectives.

Step 2. Conduct a risk assessment

After you identify the risks, conduct a detailed risk assessment to determine their likelihood and potential impact. Incorporate risk analysis techniques to systematically evaluate and prioritize risks, supporting your assessment with data-driven insights.

Analyze factors such as the probability of occurrence, the severity of consequences, and the company's vulnerability.

Use quantitative and qualitative methods to evaluate risks, such as risk matrices, scenario analysis, and expert judgment. Document the results of the assessment in a risk register or risk assessment matrix template.

Step 3. Prioritize risks based on potential impact

After conducting the risk assessment, prioritize risks based on their potential impact on the company's objectives, operations, and stakeholders. Use the results to rank risks according to their likelihood and severity.

Evaluate and compare risk levels to inform which risks should be addressed first and to guide effective prioritization. Focus on high-impact, high-probability risks that require immediate attention and resources.

When setting priorities, consider the company's risk appetite and tolerance. Tools like Jira can help visualize and tag risks to understand priorities and communicate threats more efficiently.

Step 4. Monitor risk development

Continuously monitor the development of risks and the effectiveness of mitigation measures. Risk monitoring involves tracking key indicators, reviewing the risk register regularly, and assessing the progress of risk mitigation actions.

Identify any changes in the risk landscape, such as emerging risks or priority shifts. Based on monitoring results, adjust the mitigation plan as needed.

Regularly report on risk management activities to senior leadership and stakeholders. Facilitate real-time updates and collaboration, ensuring all relevant parties are informed and aligned.

Step 5. Implement a risk mitigation plan

Develop and implement a comprehensive risk mitigation plan to address the prioritized risks. Include specific strategies and actions to reduce the likelihood and impact of risks.

What is a risk management plan?

A risk management plan is a detailed document that captures and codifies the processes and people responsible for identifying, assessing, managing, monitoring, and mitigating risks. Your company needs an enterprise risk management plan and a project risk management plan for every significant corporate project.

7 steps for a successful risk management plan

Every risk management plan must follow seven steps to provide effective protection against risks to projects and your business.

Identify risks

- Use techniques such as brainstorming and SWOT (strengths, weaknesses, opportunities, and threats) analysis to uncover potential risks.
- Work closely with IT leaders and teams to integrate and synchronize cyber and non-cyber risk management efforts wherever possible.
- Maintain detailed lists of all identified risks.
- Assign specific people to maintain and update your risk lists.

Perform a risk assessment

- Use qualitative and quantitative methods to evaluate each risk.
- Prioritize the risks according to their potential impact on the project or business operations

Analyze risk triggers

- Determine what events or conditions could cause each risk to occur.
- Continuously monitor your environment for signs of a risk. Use automated monitoring and notification wherever possible.
- Develop, document, distribute, and regularly test and update contingency plans to respond quickly to an identified trigger.

Define a risk response plan

- Choose suitable strategies for each risk. Options include avoidance, reduction, retention, spreading, transference via contracts and insurance policies, and acceptance.

- Develop, document, distribute, and regularly test and update thorough plans for handling high-priority risks.

Designate risk owners

- Assign detailed responsibilities to specific team members.
- Make sure everyone understands their roles and responsibilities.
- Regularly review all assignments and update as needed in response to changes in people or the risk environment.

Implement the risk management plan

- Put the risk management plan into action after notifying all involved project team members and stakeholders.
- Ensure that implementation of project-specific risk management plans causes little to no disruption of business operations not involved in the project.

Monitor and review

- Ensure each risk management plan includes steps and schedules for regular testing and review.
- Monitor everything related to each risk management effort, using automated monitoring and notification solutions wherever possible.
- Review and update the risk management plan regularly to reflect new information and changes.

What is the critical path method (CPM)?

The critical path method, also known as critical path analysis, is a project management method that identifies the sequence of activities that determine a project's minimum completion time. By identifying the critical path, the longest sequence of interdependent tasks that must be finished on time, you can ensure that your entire project stays on track. Any delays to tasks on the critical path push back the whole project timeline.

Critical path method vs. PERT vs. Gantt chart

While all three techniques play a role in project management, CPM, program evaluation and review technique (PERT), and Gantt charts serve distinct purposes. Here's a breakdown of their fundamental differences:

Focus:

- **CPM** focuses on identifying the critical path.
- **PERT chart**: This technique estimates project duration by considering task durations' probabilistic nature. It accounts for optimistic, most likely, and pessimistic scenarios.
- **Gantt chart**: This visual representation of the project schedule outlines tasks, durations, and dependencies.

Strengths:

- **CPM** clearly conveys the critical path, enabling efficient resource allocation and risk mitigation.
- **PERT** provides a more realistic view of project duration by considering potential variations in task completion times.
- **Gantt charts** offer an easy-to-understand visual representation of the project schedule, facilitating communication and collaboration.

Weaknesses:

- **CPM** assumes deterministic task durations, which may not always be realistic.
- **PERT** can be complex to implement and requires significant data for accurate estimates.
- **Gantt charts** don't explicitly highlight the critical path, so they may not be suitable for complex projects with intricate dependencies.

Choosing the right tool

- **Use CPM** for projects with well-defined activities, predictable durations, and a clear focus on optimizing resource allocation and meeting deadlines.
- **Use PERT** for projects with uncertain task durations where optimistic, most likely, and pessimistic scenarios are crucial.
- **Use Gantt charts** for simple project visualization, task tracking, and team communication, especially in conjunction with other project management methods such as CPM or PERT.

Types of AI solutions for project management

Project managers are always looking for ways to increase project success rates, shorten project timelines, and reduce project and business risks. Multiple types of AI for project managers can enhance elements of project management in ways that contribute to improvements in all three areas.

Task and time management

Effective task and time management are critical to successful and timely project completion. AI tools can manage tasks and optimize project timelines by automating scheduling, resource allocation, and time tracking. AI can also help project management teams spot anomalies before they disrupt project progress.

Risk management

Every project is subject to risks that can delay or derail a project. AI-powered predictive analysis and risk assessment algorithms can help project managers anticipate, mitigate, and proactively address potential risks. AI technologies can also help improve data access monitoring, fraud detection, threat analysis, and other risk management and mitigation efforts.

What is AI for project management?

I for project management is changing how almost everyone works. It can perform tasks ranging from automatically completing emails to customer, sales, and user support and generating marketing and sales content.

AI can automate tasks and processes and collate and present information in actionable contexts. AI can also monitor, assess, and make recommendations about complex situations in real-time. These and other features of AI can help improve almost every element of your project management efforts, from establishing project management objectives to project planning, resource planning, execution, evaluation, and reporting. AI-enabled tools can even help with scheduling, recording, and sharing the results of project management team meetings.

What is project estimation?

Project estimation forecasts the resources, time, and costs required to complete a project. It involves analyzing available information, such as project scope, historical data, and industry benchmarks, alongside educated assumptions about potential risks and challenges.
This process aims to create a realistic picture of the project's overall effort and expenditure. Effective project estimation methods allow project managers to set achievable deadlines, allocate resources, and inform decision-making throughout the project life cycle.

Methods of project estimation

Project estimation methods are essential for accurately forecasting the time, costs, and resources needed for successful project completion. There are various project estimation methods, which we'll discuss below.

Expert judgment

Expert judgment leverages the knowledge and experience of specialists in a specific field. Experts can be internal team members with deep domain knowledge or external consultants with proven expertise. Through consultations, interviews, or surveys, their insights help estimate project parameters such as duration, costs, and resource requirements. This approach allows teams to identify potential risks and challenges that might not be readily apparent from a purely data-driven approach.

Three-point estimation

Three-point estimating acknowledges the inherent uncertainty in project planning. It considers three possible scenarios for each task: optimistic (best-case), pessimistic (worst-case), and the most likely durations. By using a weighted average that incorporates these three estimates, this method provides a more comprehensive picture of potential project timelines. The most likely scenario is assigned the most weight. Optimistic and pessimistic estimates account for possible risks and ideal outcomes, helping project managers create more realistic timeframes that consider potential variations in task execution.

Analogous estimation

Analogous estimation leverages historical data from projects with similar tasks and deliverables to estimate the effort required for a new project. Analyzing past project data, such as time spent or resources allocated, lets project managers establish a baseline estimate for the new project.

This approach can benefit projects with limited historical data or entirely new endeavors. Acknowledge and account for differences between the analogous and the current projects to ensure a reasonably accurate estimate.

Parametric estimation

Parametric estimation uses statistical relationships between historical data and project variables to forecast project effort. This method relies on established formulas or algorithms considering historical data points, such as project size (e.g., square footage for construction) or feature count (for software development).

Parametric estimation can create estimates for parameters such as time, cost, and resources. This data-driven approach benefits projects with well-defined parameters and readily available information.

Bottom-up estimation

Bottom-up estimation breaks down the project into its smallest, most manageable components, known as work packages. Individually estimate each work package for its time, resource needs, and cost. Once you have estimates for all work packages, aggregate them to arrive at a total project estimate.

This method offers high granularity and works well for projects with well-defined scopes and tasks. However, it can be time-consuming for complex projects and requires a clear understanding of the project breakdown structure.

Top-down estimation

Top-down estimation offers a quick and efficient way to generate a high-level project estimate. This method leverages existing knowledge, industry benchmarks, or expert opinions to establish a project timeframe and budget. It considers factors such as project size, historical data, or even analogous projects from different industries.

While the initial estimates may have less detail than bottom-up approaches, they provide a valuable starting point for project planning. As the project progresses, refine top-down estimates through bottom-up estimation or expert judgment to better understand the project scope and resource requirements.

Definition of enterprise project management

EPM is a strategic approach to managing projects, programs, and portfolios. It involves coordinating and aligning these initiatives with overarching business objectives to optimize resource allocation, mitigate risk, and deliver maximum value. EPM transcends individual project management by focusing on a holistic view of the company's project landscape.

Differences between EPMO and PMO

While the enterprise project management office (EPMO) and the project management office (PMO) play crucial roles in project governance, their scope and focus differ. A PMO typically concentrates on managing individual projects or programs. It ensures that projects adhere to the project timeline, remain within budget, and finish according to the defined project scope.
In contrast, the EPMO takes a broader perspective, aligning projects with the company's strategic goals, establishing standardized methodologies, and optimizing resource

utilization across the project portfolio. The EPMO is a strategic partner, ensuring that projects contribute to the company's overall success.

What are the three constraints in project management?

Making informed choices during decision-making helps manage the triple constraints and ensures the project meets its objectives. Before you can manage the constraints, you must understand them.

Time

Time is a critical constraint in project management. It encompasses the project schedule, deadlines, and project milestones. Managing time effectively means creating a realistic project timeline that ensures timely completion.
Time management also involves prioritizing tasks and allocating resources efficiently. Effectively managing time ensures project completion within the stipulated time frame, avoiding costly delays and ensuring client satisfaction.
Project timeline software can streamline this process, providing visual aids and tracking mechanisms. Gantt charts, for example, can help visualize the project schedule and track progress.

Cost

Cost refers to the financial resources necessary to complete a project. It includes everything from labor expenses to materials and equipment. Staying within budget is crucial for project success, as cost overruns can lead to project failure.

First, create a detailed project budget. Estimate costs accurately and allocate funds appropriately. Regular monitoring and control of expenses will help avoid overspending.

Scope

Scope defines the project's boundaries, including the work needed to achieve the project's objectives. It outlines what the project will deliver and what it won't.
Managing project scope effectively ensures the project stays on track and delivers the expected outcomes.
Scope management starts with a clear definition of project objectives and deliverables. Document requirements and set boundaries to avoid scope creep. Learning how to write a project plan serves as a foundational step in this process.

What is resource scheduling?

Resource scheduling allocates assets to specific tasks and projects within a set timeframe. Depending on the industry, your resources could include team members, equipment, and facilities.

Everyone from team members to stakeholders has access to the resource schedule, which outlines time commitments and responsibilities throughout the project life cycle, ensuring there is no confusion.

For most projects, resource scheduling involves answering three questions:

- What resources does this project need?
- When does it need those resources?
- Are those resources available?

Answering these questions keeps everyone on track and prevents delays, as it allows project managers to identify exact resource requirements, time restraints, and availability. Effective resource scheduling is also a crucial component of effective time management, ensuring that your team utilizes available hours productively and meets project objectives.

Types of resource scheduling

Different projects require different approaches to resource scheduling. Understanding when to use each method can help you pick the right strategy for your team's needs.

The most common types of resource scheduling methods include:

- **Time-based scheduling**: This method focuses on specific time slots and deadlines for project execution. It involves assigning resources based on when tasks need to be completed rather than resource availability. Time-based scheduling is well-suited for projects with fixed deadlines, like product launches or marketing campaigns.
- **Resource leveling**: When you have limited resources but flexible deadlines, resource leveling helps smooth out workload peaks. This method adjusts project timelines to match your team's capacity, meaning you might extend a project by a few weeks instead of overwhelming your best designer with three simultaneous campaigns.
- **Resource smoothing**: Unlike leveling, resource smoothing maintains your original project timeline while redistributing work within that timeframe. This approach works when deadlines are non-negotiable, but you need to balance team workloads, which may involve adjusting the timing of some tasks within the same project phase.

What is the cost performance index (CPI)?

The cost performance index is a metric that measures cost efficiency by comparing your planned budget against actual project costs. It shows you whether you're spending more or less than planned for the work completed, which can help you understand whether you have enough budget left to meet your project objectives.
Project managers rely on CPI as a standardized way to track costs and measure budget performance throughout the project life cycle. This metric is valuable because it provides an objective measure of cost efficiency that can be compared across different projects and time periods.
When you calculate CPI, you'll get a number that tells you exactly where your project stands financially:

- A CPI above 1.0 means you're under budget and performing efficiently
- A CPI of exactly 1.0 means you're right on budget
- A CPI below 1.0 means you're over budget and spending more than planned

Why is CPI important?

CPI is used for more than simple budget tracking. Here's why it matters:

- **Early warning system**: CPI helps identify potential cost overruns before they become major problems.
- **Data-driven decisions**: It provides concrete data for making informed financial adjustments.
- **Performance tracking**: Teams can monitor cost efficiency throughout the project.
- **Stakeholder communication**: CPI offers a clear way to report financial performance to stakeholders.

Effective project collaboration depends on having reliable metrics that everyone understands. CPI provides this common ground, helping teams align their efforts toward meeting budget goals.

How to calculate cost performance index

Calculating the cost performance index is simple once you understand the components involved. You'll need just two pieces of information:

1. **Earned value (EV)**: This is the value of the work completed to date.
2. **Actual cost (AC)**: This is the total cost spent on completed work.

To ensure accurate cost performance index calculation, gather data from:

- Budget reports
- Timesheets
- Expense records
- Progress reports

Cost performance index formula

The cost performance index formula is:

CPI = Earned value (EV) / Actual cost (AC)
Let's take a look at an example of the cost performance index calculation:

If your team has completed $50,000 worth of work (EV) and spent $45,000 (AC):

CPI = $50,000 / $45,000 = 1.11

This result indicates that the project is performing efficiently, delivering a $1.11 value for every dollar spent.

What is a change management plan?

A change management plan is a comprehensive document that outlines the [project scope], strategies, processes, and tools needed to help people adapt to organizational changes while minimizing disruption and resistance. It ensures a structured approach to transitioning individuals, teams, and businesses from their current state to a desired future state.
Whether implementing new software, restructuring teams, or updating core processes, a change management plan template provides the framework for effective [project planning] and successfully guides your business through the transition.

Key elements of an effective change management plan

A successful change management planning process includes several necessary pieces of information that work together to ensure smooth implementation:

Objectives and goals

Setting goals will help build the basis of any change initiative. Your objectives must clearly state the purpose and specific goals of the change while describing the desired outcomes. These goals should align with broader organizational strategies to ensure the change creates a meaningful impact.

Use a free OKRs template to track and measure your progress effectively.

Communication strategy

Clear communication is crucial for successful change implementation. Develop a plan that outlines consistent, transparent communication with all stakeholders throughout the change management process. Detail specific channels you'll use and establish regular update frequencies to maintain alignment across teams.

Our stakeholder communications template can help you organize and track these important conversations.

Training and support

Comprehensive training and support systems help teams confidently adapt to new processes or systems. Create detailed training programs that address specific skill gaps and provide resources needed during the transition period.

Document support initiatives that will help prepare your team for upcoming changes. Start planning with our resource planning template to ensure you have everything needed for success.

Timeline and milestones

A clear timeline helps teams understand when changes will occur and what to expect. Create a detailed schedule that includes specific milestones to track progress, along with deadlines and phases for implementing each stage of the change.

Use our project timeline template to map out your change journey and keep everyone aligned on key dates.

Risk management plans

Identify possible risks that could impact your plan and develop strong contingency strategies to address them if they arise. Risk assessments can help you avoid potential issues so you can adjust your approach as needed.

Get started with our risk assessment template to document and track potential challenges.

Feedback methods

Establishing robust feedback methods ensures your change initiative stays on track and responds to team needs. Create multiple channels for collecting ongoing feedback from stakeholders and use this information to make timely adjustments to your change process.

What is a risk matrix?

A risk matrix is a visual tool used to categorize and assess various types of risks. It enables organizations to understand their relative severity and facilitate strategic planning. It provides a structured framework for evaluating potential threats by analyzing their likelihood and impact for more informed decision-making.
Risk matrices can be applied to various types of risks, including financial, operational, cybersecurity, and project-related risks. For instance, a marketing department might use a risk matrix to evaluate the potential impact of a delayed campaign, while a project manager could use it to assess the risks associated with a new product launch and each phase of the project life cycle.

What is context switching?

Context switching is the process of shifting your attention from one task to another, requiring your brain to pause, reorient, and recall where you left off.

While it allows you to juggle multiple responsibilities, it comes at a price – slowing productivity, increasing the risk of errors, and creating mental fatigue.